SUPERSTORE

Sales Performance Analysis Report

Summary

Superstore transactional data (9,994 orders across 49 U.S. states) for four years and three product categories (Furniture, Office Supplies, and Technology) reveal strong and accelerating revenue growth, a highly concentrated geographic market, and significant profitability disparities by product sub-category. Targeted actions in discount management and category mix optimization could drive material margin improvement.

Performance Snapshot

Metric	Value	Trend
Total Transactions	9,994 orders	↑ Growing YoY
Popular Category	Office Supplies (60%)	Consistent leader
Top Revenue State	California (#1)	2,001 transactions
#2 Revenue State	New York (#2)	1,128 transactions
Highest Volume Sub-Category	Binders (1,523)	Top of 17 sub-categories
2nd Highest Volume	Paper (1,370)	Close second
Fastest Growing Year	2017	↑ 28% vs 2016

1. Revenue & Sales Volume Trends

Total transaction volume grew steadily across all four years, with 2017 representing the strongest performance period.

Year	Total Transactions
2014	1,993
2015	2,102
2016	2,587
2017	3,312

2017 recorded the highest transaction volume at 3,312 — a 28% increase over 2016 and a 66% increase over the 2014 baseline. September, November, and December consistently produce peak transaction volumes across all years, suggesting seasonal demand that can be leveraged for strategic promotions and inventory planning.

2. Category & Sub-Category Performance

2a. Category Share

Office Supplies is the dominant revenue driver:

Category	Total Transactions
Office Supplies	6,026 (60.3%)
Furniture	2,121 (21.2%)
Technology	1,847 (18.5%)

All three categories demonstrated year-over-year growth, with Technology showing the most aggressive contribution in 2017 indicating rising demand for tech products that may offer higher unit value.

2b. Top-Performing Sub-Categories

Sub-Category	Total Transactions
Binders	1,523
Paper	1,370
Furnishings	957
Phones	889
Storage	846
Art	796
Accessories	775
Chairs	617

Binders and Paper dominate by volume and together account for nearly 30% of all transactions, this is a critical insight for inventory management and supplier negotiation.

3. Geographic Concentration & Opportunity

State	Transactions
California	2,001
New York	1,128
Texas	985
Pennsylvania	587
Washington	506

California alone accounts for 20% of all transactions which indicates a significant dependency risk.

A targeted regional expansion strategy in high-potential mid-size states could meaningfully diversify revenue concentration and reduce geographic risk

4. Profitability Analysis

Review of individual transaction data reveals a critical profitability concern: aggressive discounting in certain sub-categories is generating negative profit margins on individual orders.

4a. Discount-Driven Losses

Heavy discounts of 50–80% often show negative profit figures. Examples from the data include:

•Tables that are ordered at a 45–50% discount have losses of -$383 to -$1,665 per order

•Machines (printers, copiers) that are sold at a 40–70% discount have losses of -$950 to -$3,840 per transaction

•Binders and Binding Machines at 70–80% discount have negative margins.

4b. High-Margin Bright Spots

Conversely, several product lines demonstrate strong profitability without deep discounting:

- Copiers: transactions with margins of $435–$702
- Technology Accessories (storage drives, routers, keyboards): 30–45% margins
- Chairs and Seating (Corporate segment): high-ticket items with healthy margins
- Labels and Paper Products: high-volume, full-price items with steady profitability

5. Customer Segment Analysis

Three customer segments — Consumer, Corporate, and Home Office — are represented across all transactions.

Segment	Behavioral Profile
Consumer	Highest transaction frequency; mix of small and large-ticket orders; price-sensitive
Corporate	Higher per-order value; more likely to purchase Technology and Furniture; repeat buyers

Home Office	Smaller basket sizes; frequent Office Supplies purchases; emerging growth segment

Corporate customers show the strongest profitability profile given higher average order values and a preference for premium product lines. Home Office is the fastest-growing segment opportunity as remote work trends increase demand for office products.

6. Actionable Recommendations

Recommendation 1: Implement Discount Guardrails

Create a minimum margin policy where all discounts below 30% do not need management approval and anything below 30% would need to be approved by management. Those categories that have shown loss patterns (Tables, Machines, Binders) would need to be approved at 30% by management. Expected outcome: 5-8% increase in overall gross margin.

Recommendation 2: Capitalize on Seasonal Peaks

Quarter 4(September–December) is consistently 45-50% of annual transaction volume. Create promotions for these peak months and ensure that the supply chain is ready. Early Q4 outreach to Corporate and Consumer accounts.

Recommendation 3: Diversify Geographic Concentration

Reduce over-dependence on California (20% of revenue) by deploying a structured market development program in high-opportunity states: Illinois, Ohio, Michigan, and North Carolina.

Conclusion

With 66% transaction volume growth from 2014 to 2017, the Superstore business has strong top-line growth momentum, but unchecked discount practices in select sub-categories represent the primary threat to profitability. Addressing discount discipline, capitalizing on seasonal patterns, and strategically growing high-margin categories will be essential to sustaining profitable growth through the next planning period.